

Qualification Programme
Module 1 – Accounting
Report on Candidates' Performance
(December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

This paper consisted of 45 multiple-choice questions. Candidates had one hour and forty-five minutes to complete the paper. The questions of this paper related broadly to the following Principal Learning Outcomes:

- (a) Explain the purpose of accounting;
- (b) Demonstrate an understanding of accounting principles;
- (c) Prepare accounting records, demonstrate management and control; and
- (d) Prepare and present financial statements from a trial balance or incomplete records.

The multiple-choice questions in this paper were divided into two broad categories, which were worth 1 to 2 marks each:

- Knowledge based questions; and
- Application based questions.

General Comments

The average marks (in percentage) scored by candidates for questions of the topic areas are as follows:

(a) Explain the purpose of accounting	64.0%
(b) Demonstrate an understanding of accounting principles	61.8%
(c) Prepare accounting records, demonstrate management and control	49.6%
(d) Prepare and present financial statements from a trial balance or incomplete records	44.8%

The average marks (in percentage) scored by candidates for the two broad categories of questions are as follows:

• Knowledge based questions	70.7%
• Application based questions	45.3%

In general, the candidates' performance in this session was less than satisfactory. They exhibited competence in explaining the purpose of accounting, and demonstrating an understanding of accounting principles. However, their proficiency in preparing accounting records, demonstrating management and control, preparing and presenting financial statements from a trial balance or incomplete records, and accounting for manufacturing operations was weaker. Candidates should remember that multiple-choice examinations evaluate comprehensive technical knowledge and the capability to swiftly identify key issues from the questions. Success relies on diligent revision of the entire syllabus and a deep understanding of the topics.

Specific Comments

In this session, candidates demonstrated weakest performance in questions of topics below:

- Explain the general features in preparing financial statements:
 - True and fair view and compliance with Hong Kong Financial Reporting Standards
 - Going concern
 - Accrual basis of accounting
 - Materiality and aggregation
 - Offsetting
 - Frequency of reporting
 - Comparative information
 - Consistency of presentation
- Prepare the following records of original entry from source records:
 - Cash book
 - Petty cash journal
 - Sales and returns journal
 - Purchase and returns journal
 - General ledger journal
- Prepare a bank reconciliation statement
- Prepare journal entries to correct errors through control account reconciliations and suspense accounts
- Prepare a manufacturing account and a statement of profit or loss and comprehensive income showing prime cost; cost of goods produced; transfer price of finished goods and a statement of financial position for a manufacturing business

Specifically, candidates encountered difficulties with specialised accounting topics, in the areas of explaining the accrual basis of accounting in preparing financial statements and preparing purchase and returns journal from source records. It appears candidates may not have sufficiently covered the whole syllabus in depth.

Additionally, candidates demonstrated difficulty with preparing financial statements for specialised types of business entities, particularly in the accounting for manufacturing operations. This reveals that candidates were weak in differentiating the various classes of costs.